Ex Tempore

SHERIFF OF ZIMBABWE
versus
CAPITAL LASER ENGINEERING (PRIVATE) LIMITED
and
POWER CONSULTING ENGINEERING
&CONTRACTORS (PRIVATE) LIMITED T/A
SMART TEC POWER ENGINEERS

HIGH COURT OF ZIMBABWE
DEME J
HARARE, 13 and 16 March 2026

Interpleader Proceedings

M Nyathi, for the Applicant
R. Kadani, for the Claimant
M. K Chigudu, for the Judgement Creditor

DEME J: The Judgment Creditor obtained judgment in case number HCHC360/25 against The Renewal Energy Hub Incorporated (Pvt) Ltd (hereinafter called "the Judgment Debtor") on 16 October 2025. Consequently, the Judgment Creditor instructed the Applicant to attach the property in order to satisfy the judgment debt. The Applicant complied with the instruction on 5 December 2025.

The Claimant laid claim to the attached property. The Applicant, upon request from the Claimant, approached this court through interpleader proceedings in terms of Rule 63. The Claimant alleged that it purchased the assets from Power Speed Electrical Ltd on 8 October 2021. The Claimant attached the agreement of sale together with an asset register. The Claimant further asserted that it was incorporated in terms of the laws of Zimbabwe on 7 October 2021. The Claimant additionally affirmed that it concluded a five-year lease with Petronets Investments (Pvt) Ltd which is alleged to be the owner of the property. Despite the averment that the deed of transfer in respect of the property was to be attached, the Claimant failed to attach the same. In

terms of the alleged lease, the Claimant, as a lessee would remain at number 28 Telford Road, Graniteside, Harare in terms of conditions for the lease. A lease agreement was attached to the Claimant's interpleader affidavit.

It was averred by the Claimant that the Judgment Debtor does not operate at number 28 Telford Road, Graniteside, Harare (hereinafter called "the address of attachment"). The Claimant claimed that the return of service suggests that the Judgment Debtor was not at the address of attachment when the Applicant attempted to serve the Judgment Debtor in case number HCHC360/25. According to the Claimant, the return of service also suggests that only the Claimant and the company called Central Batteries (Pvt) Ltd were operating at the address of attachment. More particularly, the Applicant, in the return of service, remarked as follows:

> "Summons, and the plaintiff's declaration served by affixing to the Grey counter, after the Sheriff failed to locate The Renewable Energy Hub Incorporated (Pvt) Limited at the address of service. The address of service is currently occupied by Capital Laser Engineering and Central (Batteries) Pvt Limited."

On this basis, the Claimant argued that the Claimant must be presumed to be the owner of the goods attached as it was in possession of the goods at the time of attachment. The Claimant additionally claimed that the agreement of sale together with an asset register must be considered as enough evidence for proving ownership on a balance of probability. Reference was made to the case of *Sheriff of Zimbabwe* v *Senital* (Pvt) Ltd[1].

The claim was opposed by the Judgment Creditor. According to the Judgment Creditor, the Claimant failed to prove ownership of the goods claimed. It further alleged that the Claimant neglected to tender evidence for the payment of purchase price of the assets allegedly purchased by the Claimant. On this basis, the Judgment Creditor contended that the agreement of sale is a simulated transaction. It also asserted that the asset register was authored by the Claimant and hence lacks credibility. Responding to this, Mr. Kadani submitted that the Claimant is no longer in possession of the receipts of the deal concluded in 2021.

The Judgment Creditor also averred that the Claimant failed to attach the deed of transfer for the property despite insisting that the same was to be attached. It was further alleged that the Claimant and the Judgment Debtor are controlled by one individual identified as Rodreck

[1] HB233/13.

Musiyiwa who has caused interpleader proceedings to be instituted, according to the Judgment Creditor's viewpoint. For this reason, the Judgment Creditor affirmed that collusion is highly likely under such circumstances. Mr. Chigudu urged the court to pierce the corporate veil.

Mr. Kadani, on the question of piercing the corporate veil, submitted that there is no evidence tendered by the Judgment Creditor substantiating the allegation that Rodreck Musiyiwa does enjoy a controlling stake in the two entities i.e. the Judgment Debtor and the Claimant. He further submitted that the corporate veil can only be interfered with in exceptional circumstances. According to Mr. Kadani, the Judgment Creditor failed to justify why the corporate veil must be pierced. Reference was made to the case of *Sheriff of Zimbabwe* v *Senital (Pvt) Ltd supra*.

The Judgment Creditor maintained that the Claimant, at one time, made payments for the Judgment Debtor. A bank statement was attached. The Claimant dismissed this allegation. According to the Claimant, the company captured in the bank statement namely Capital Energy (Pvt) Ltd is different from itself.

The issues that arise for determination are:

A. Whether the court may pierce the corporate veil.

B. Whether the Claimant has, on a balance of probabilities, proved ownership of the goods claimed.

Our courts have founded basic requirements governing the jurisprudence for the piercing of corporate veil. Corporate veil may only be sliced in exceptional circumstances. Reference is made to the case of *Tindwa* v *Sheriff for Zimbabwe and Anor*[2], where the Supreme Court remarked as follows:

> "[10] The concept of separate legal personality of a company is the cornerstone of company law. The cardinal principle of company law, as enunciated in *Salomon* v *Salomon & Co Ltd* [1897] AC 22 (HL) and *Dadoo Ltd & Others* v *Krugersdorp Municipal Council* 1920 AD 530 at 550, is that a company is a separate entity that is distinct from its members. The concept of corporate personality is that a company, once it is registered, acquires a personality of its own quite distinct from its members or shareholders. See *Welli-Well (Pvt) Ltd v Malvern Imbayago & Anor* SC 8/21 at p 6.

[2] SC94/22.

> [11] Because a company is separate from its members, the courts will not readily disregard such corporate legal personality and lift the corporate veil so as to attach liability to individuals who are related to the company. This principle was buttressed in the case *Cape Pacific Ltd v Lubner Controlling Investments (Pty) Ltd* & Ors 1995 (4) 790(A) at 803G – 804A SA wherein the court held as follows:
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> "It is undoubtedly a salutary principle that our Courts should not lightly disregard a company's separate personality, but should strive to give effect to and uphold it. To do otherwise would negate or undermine the policy and principles that underpin the concept of separate corporate personality and the legal consequences that attach to it. But where fraud, dishonesty or other improper conduct is found to be present, other considerations will come into play. The need to preserve the separate corporate identity would in such circumstances have to be balanced against policy considerations which arise in favour of piercing the corporate veil… and a court would then be entitled to look to substance rather than form in order to arrive at the true facts, and if there has been a misuse of corporate personality, to disregard it and attribute liability where it should rightly lie. Each case would obviously have to be considered on its own merits.""

In the case of *Mkombachoto v Commercial Bank of Zimbabwe & Anor*[3], the court held that:

> "In my view the court has no general discretion to disregard the company's separate legal personality whenever it considers it just to do so. The court may 'lift the veil' only where otherwise as a result of its existence, fraud would exist or manifest justice would be denied."

In *casu*, the Judgment Creditor did not plead fraud, dishonesty, improper conduct or any other manifest injustice that may occur if the corporate veil is not interfered with. On this basis, the court does not see the reason why it may lift the corporate veil.

On the question of ownership, the Claimant bears the onus to prove ownership on a balance of probabilities. Reference is made to the cases of *Welli-Well (Pvt) Ltd* v *Imbayago and Another*[4] *and A. Raziya Kazi* v *The Sheriff of Zimbabwe and Ors*[5]. The Claimant is claiming ownership of the goods through possession. It is evident that the Applicant's remarks demonstrate that the Judgment Debtor was not operating at the address of attachment on 26 June 2025. The Judgment Creditor did not successfully rebut this allegation by the Applicant. Mr. Chigudu argued that it is not disputed that the Judgment Debtor was operating at this address.

[3] 2002 (1) ZLR 31(H) at 390D

[4] SC 8/21

[5] SC26/22

However, no evidence was tendered by the Judgment Creditor to substantiate the submission. Mr. Chigudu contended that the Judgment Debtor was able to respond to the matter in case number HCHC360/25 and hence the Judgment Debtor must be construed to be operating at the address of attachment. This submission, in the absence of concrete evidence that the Judgment Debtor truly operated at the address of attachment can only be a hollow affirmation.

Mr. Chigudu further maintained that the Claimant's Legal Practitioners representing the Judgment Debtor are the same which are representing the Claimant. He further submitted that Mr. Kadani, at one time, represented the Judgment Debtor. On this basis, Mr. Chigudu contended that collusion cannot be ruled out under such state of affairs. Responding to this, Mr. Kadani argued that he represented the Judgment Debtor when he was still with Atherstone and Cook Legal Practitioners. He further claimed that he left this law firm and has now established his own practice.

In my view, the allegation by Mr. Chigudu against Mr. Kadani cannot be used to rebut the presumption of ownership arising from possession. The Judgment Creditor ought to have lodged independent investigations of the exact location of the Judgment Debtor and furnish the court with the findings of such investigations. In the absence of evidence to the contrary, I am persuaded by the remarks of the Applicant captured in the return of service. The Applicant is an independent person and an officer of this court. I do agree with Mr. Kadani's submissions to the effect that the remarks by the Applicant are taken to be *prima facie* evidence of the allegations.

Having made a finding that the Judgment Creditor failed to discredit the Applicant's remarks incorporated in the return of service, this leaves me with no option except to conclude that there is no evidence that the Judgment Debtor operated at the address of attachment at the material time. Further, the return of service establishes that the Claimant operates at the address of attachment. On this basis, the Claimant must be presumed to be the owner of the goods attached as it was in possession of such goods at the material time. The presumption of ownership arising from possession was established over a century ago in the celebrated case of *Zandberg* v *van Zyl*[6], where the court held that:

"… possession of a movable raises a presumption of ownership …."

[6] 1910 AD 258 at 272

The case of *Zandberg* v *Van Zyl* was quoted with approval in the case of *Muzanenhamo* v *Fishtown Investments (Pvt) Ltd and Ors*[7].

Possession is a critical right which must be protected by the courts in the absence of any piece of evidence to the contrary. The Claimant was a possessor of the attached goods at the material time. This court must protect the Claimant in terms of the established practice following the Judgment Creditor's failure to rebut the presumption of ownership which flows from possession. On this basis, this court has no reason to deny the claim before the court.

Costs ordinarily follow the outcome. I have not been favoured with submissions against this established rule. The Judgment Creditor must bear Applicant's and Claimant's costs on an ordinary scale. Such costs, in my view, are reasonably sufficient. Accordingly, it is ordered as follows:

A. The Claimant's claim to all the property which appears on the Notice of Seizure and attachment dated 5th of December 2025 which was placed under attachment in execution of the order in HCHC360/25 be and is hereby granted.
B. The abovementioned property attached in terms of the Notice of Seizure and Attachment dated 5th of December 2025 issued by the Applicant, be and is hereby declared not executable.
C. The Judgement Creditor shall, to the extent applicable, pay in full the storage costs incurred by the Applicant from the date of the removal of the goods to the date of their resale from storage.

[7] SC8/17.

D. The Judgement Creditor shall pay the Claimant's and the Applicant's costs on an ordinary scale.

DEME J:…….

Kantor & Immerman legal practitioners, applicant's legal practitioners
Kadani Attorneys at Law, claimant's legal practitioners
Zinyengere Rupapa Legal Practitioners, Judgement Creditor's Legal Practitioners